COMPLETE CRYPTO FUTURES TRADING SYSTEM

Scenarios · Blue Chips · Manipulation · Psychology · Risk Management · Live Chart Integration

Integrating: Crypto Futures Playbook v2.0 · Blue Chip Perp System · Manipulation Trading System · Tom Hougaard's 7-Part Psychology Series

Prepared by Claude | March 2026 | v3.0 — Unified Edition

HOW TO USE THIS DOCUMENT

This is a complete operating system for crypto perpetual futures trading — not a collection of tips. Every part connects to every other part. Work through it in this order every single time:

Step	Action	Time	Section
1	Check BTC Regime + Local Momentum + Session	10 sec	Part 0 + Part 1
2	Run 4-Question Decision Tree → Scenario number	60 sec	Part 2
3	Check CVD Matrix state (which of 4 states?)	5 sec	Part 3
4	Read your Scenario's Indicator Table + Entry Trigger	30 sec	Part 4 or 5 or 6
5	Count confluences. Check liquidation heatmap. Check VPVR.	15 sec	Part 10
6	Write the pre-trade note (Why / Wrong condition / Add condition)	30 sec	Part 9
7	Calculate position size using Risk formula	20 sec	Part 8
8	Place stop BEFORE touching the entry button	5 sec	Part 8 Rule 6
9	Log the trade in the journal immediately after closing	—	Appendix

NON-NEGOTIABLE RULES — Apply to Every Trade, Every Time

✗ Never enter without a stop loss already placed in the system. Not in your head — in the system.

✗ Never enter without the position size already calculated. The formula must be run before touching the entry button.

✗ Never enter with fewer confluences than your account size minimum (see Part 8).

✗ Never trade against the macro regime without 7+ confluences and 3x max leverage.

✗ Never trade during Dead Hours with full position size. 50% cap applies.

✗ Never move a stop loss against your position. Ever. Not once.

PART 0 — MACRO REGIME FILTER

MANDATORY FIRST STEP. Run this before any analysis. Three sub-checks, in order. The result of each overrides or limits everything below it.

Step 0A: BTC Macro Regime

	BULL REGIME	BEAR REGIME	TRANSITION / UNCLEAR
How to identify	BTC above 20D VWMA. Funding neutral-to-positive (+0.005–0.03%). Stablecoin supply growing.	BTC below 20D VWMA. Funding negative. OI falling or flat with declining price.	VWMA flat or chopping. Funding oscillating near zero. OI choppy no direction.
Bias	LONGS	SHORTS or FLAT	NEUTRAL
Max leverage	10x on A+ setups	5x on all trades	5x on all trades
Confluences required	5+ (scaled by account size — see Part 8)	7+ minimum	7+ minimum
Override rule	A technically perfect setup in Bear or Transition regime requires 7+ confluences, 3x leverage cap, no altcoin longs.	—	—

Step 0B: BTC Local Momentum (NEW — Check This for Every Altcoin Trade)

The macro regime tells you the monthly direction. Local momentum tells you where BTC is within that direction. An altcoin long during a Bull Regime is not the same as an altcoin long during a Bull Regime while BTC is pulling back 8%.

BTC Local Condition	How to Check	Altcoin Impact
BTC above 4H 21 EMA	4H chart — price above the 21 EMA and EMA pointing up	Normal rules apply. Full leverage table in effect for altcoins.
BTC at 4H 21 EMA (at the level)	4H chart — price testing the EMA	Decision point. Wait for either reclaim or loss of EMA before entering altcoin trades.
BTC below 4H 21 EMA	4H chart — price below and EMA pointing down	Altcoin longs: cap leverage at 5x regardless of other confluence. Altcoins typically drop 15-25% during BTC local pullbacks.
BTC dropping 3%+ rapidly (live)	Aggr.trade showing large red prints, OI dropping	EXIT or reduce all altcoin longs immediately. Correlated liquidation cascade affects all altcoins within 30-60 minutes.

Step 0C: Sector Performance (NEW — For Altcoin Trades Only)

Check CoinGecko category performance over the last 7 days. The sector your coin belongs to (DeFi, AI, RWA, L2, Meme) matters more than the coin itself. Sector momentum is the wind at your back or in your face.

Sector vs BTC (7-Day)	What It Means	Adjustment
Sector outperforming BTC by 10%+	Active narrative rotation into this sector. Institutional money moving in.	Add +1 to your confluence count. The macro tailwind is real.
Sector roughly in line with BTC	No sector-specific edge or headwind.	No adjustment. Standard confluence count.
Sector underperforming BTC by 10%+	Capital rotating OUT of this sector.	Subtract 1 from confluence count. Sector headwind reduces probability of individual coin setups.
Sector in freefall (down 20%+, BTC flat)	Sector-specific unwinding event. Possibly news, hack, regulation.	Do not trade coins in this sector until sector finds a floor. Individual coin setup quality is irrelevant.

PART 1 — SESSION AWARENESS (COMPLETELY NEW)

The market is not the same at all hours. A Scenario 1 entry trigger at NY Open is A+ quality. The same trigger firing at 3 AM Dead Hours is a trap. This section is the most significant addition to the original playbook — and its absence was causing the most avoidable losses.

Session	UTC	IST	Character	Playbook Adjustments
Asian Session	01:00–08:00	06:30–13:30	Lower volume. OI moves slowly. Range behaviour dominates. Funding resets at 00:00 and 08:00 UTC. False breakouts extremely common.	Scenario 8 (Range) base rate is highest. Leverage cap: 5x. No chasing breakouts. Only fade range extremes with 6+ confluences.
London Open	07:00–11:00	12:30–16:30	High-volume injection. European institutional flow. Frequently sweeps Asian session liquidity first, then moves. Scenario clarity is best here.	Scenarios 1, 3, 4 have highest reliability. 15m entry triggers carry full weight. Full leverage table applies from 6+ confluences.
NY Open	13:00–17:00	18:30–22:30	Highest volume of the day. US institutional flow. Overlaps with London for 1-2h creating peak liquidity. Most significant and sustained moves originate here.	Highest-probability entry window for all trending scenarios. 15m triggers most reliable. Liquidation sweeps most decisive and complete.
Dead Hours	20:00–01:00	01:30–06:30	Minimal volume. OI stagnant. Small orders can move price. Breakouts almost always reverse. Funding reset noise at 00:00 UTC creates false signals.	50% position size cap on ALL trades. No new entries during Scenarios 1–4 (trend trades). Scenario 8 range fades only, with 7+ confluences.

> ***"By 1.5 hours into the New York session, the high or the low of the day is already set 70% of the time. The first 30 minutes set it 50% of the time. The opportunity is front-loaded. The patient trader who misses the first move and waits for the session confirmation is not being slow — they are being professional."***
>
> — Tom Hougaard

Tom Hougaard's Session Rules — Applied to Crypto Perps

- 58% of gaps fill the same day. 78% fill within 3 days. When BTC gaps up 2%+ at a session open — wait 30-60 minutes before entering. Do not chase the gap.
- 90% chance the session's high OR low is set within the first 90 minutes. If you miss it, wait for the next session. Forcing a trade in the middle of a dead session is revenge trading with extra steps.
- Add to your weekly journal: which session was I in for each entry? After 50 trades, your session statistics will reveal where your actual edge lives.
- Funding resets at 00:00, 08:00, and 16:00 UTC. Do not read the funding rate in the 30 minutes after a reset — it shows 0% artificially. Wait for the next data point.

PART 2 — PHASE IDENTIFICATION DECISION TREE

Run these 4 questions in order. Each answer routes you to the next question or directly to a scenario number. The entire identification takes under 60 seconds on your Coinglass chart. Print this page.

	Question	ABOVE / RISING / YES	BELOW / FALLING / NO
Q1	Is price above or below the VWMA on the 4H chart?	→ Go to Q2A	→ Go to Q2B
Q2A	Is Spot CVD rising over the last 6+ candles?	→ Go to Q3A	→ SCENARIO 2 (Uptrend Weakening)
Q2B	Is Spot CVD falling over the last 6+ candles?	→ Go to Q3B	→ SCENARIO 6 (Bottom Forming)
Q3A	Is OI rising alongside price?	→ Go to Q4	→ SCENARIO 5 (Dead Cat Bounce — OI falling = short covering only)
Q3B	Is OI rising?	→ SCENARIO 4 (Healthy Downtrend)	→ SCENARIO 3 (Confirmed Reversal from Top — OI crashing)
Q4	Is funding neutral-to-positive AND MACD above zero?	→ SCENARIO 1 (Healthy Uptrend)	→ SCENARIO 7 (Confirmed Reversal from Bottom)

RANGE SHORTCUT — Use Before Running Q1

If price has been oscillating between the same two levels for 3+ days, volume is declining, Spot and Futures CVD are both flat, and VWMA is horizontal — go directly to SCENARIO 8 (Ranging). The decision tree is designed for trending markets and will give false readings in true range conditions.

If you are unsure whether a range or trend is active: zoom out to the 4H chart. Is VWMA pointing in a clear direction? If no — it is a range. Run Scenario 8 protocols.

PART 3 — CVD DIVERGENCE MASTER MATRIX

The relationship between Spot CVD and Futures CVD is the single most informative combination in your entire indicator stack. There are exactly four possible states. Know all four without looking at this page.

STATE	What the Readings Show	What It Actually Means	Verdict & Action
BOTH RISING	Futures CVD rising AND Spot CVD rising simultaneously	Genuine accumulation. Real money (spot) and leveraged money (futures) both buying. The move has two sources of fuel.	STRONG LONG. Full size. Both pillars of demand are active.
BOTH FALLING	Futures CVD falling AND Spot CVD falling simultaneously	Genuine distribution. Real money and leveraged money both selling. The move down has structural support.	STRONG SHORT. Full size. Both pillars confirming the downside.
FUTURES RISING — SPOT FLAT/FALLING	Futures CVD rising BUT Spot CVD flat or declining	Speculative pressure without real money confirmation. Leveraged longs pushing price but actual coin buyers not participating. Classic pump-before-dump structure.	CLOSE LONGS. Do NOT enter new longs. Trap likely. Wait for Spot CVD to confirm or price to reverse.
FUTURES FALLING — SPOT FLAT/RISING	Futures CVD falling BUT Spot CVD flat or rising	Smart money accumulating quietly while futures shorts pile in. This is the highest-probability reversal setup. Real buyers absorbing leveraged sellers.	ACCUMULATE LONG. Reversal incoming. Watch for Scenario 7 trigger to confirm full entry.

THE MOST DANGEROUS ERROR IN TRADING — And How to Never Make It

Going long because Futures CVD is rising — without confirming that Spot CVD is also rising.

Futures CVD rising alone can mean: short covering (forced buying with no conviction), leveraged speculation (bots and retail), or a pump being engineered before distribution.

Spot CVD is the truth. When real money moves coins on spot markets, Spot CVD moves. It cannot be faked by derivatives activity.

Rule: Before every long entry, look at both CVD panels. If Spot CVD is flat or falling while Futures CVD is rising — close the long analysis and wait. The setup does not exist yet.

PART 4 — THE 8 SCENARIOS

Each scenario contains everything needed from analysis through execution through exit. Read the indicator table to confirm you are in the right scenario. Check the entry trigger before touching the entry button. Read the failure mode before entry — not after.

SCENARIO 1 — HEALTHY UPTREND

All systems aligned — continuation is the highest-probability outcome

Indicator	Reading	What It Means	Signal
VWMA	Price clearly above, gap widening	Trend confirmed and accelerating. Every close above VWMA shows buyers in full control.	BULLISH
Volume	High on up candles, low on pullbacks	Asymmetric conviction. Buyers aggressive on pushes, sellers timid on dips.	BULLISH
Futures CVD	Rising steadily with price	Active market-buying. Real aggression, not passive orders.	BULLISH
Spot CVD	Rising in sync with Futures CVD	Real money buying. Actual coin accumulation occurring. Both pillars active.	BULLISH
Bid/Ask Delta	Consistently positive	More bids than asks. Buyers showing their hand.	BULLISH
Funding Rate	Slightly positive (+0.01–0.03% per 8h)	Healthy cost. Longs paying shorts but not overheated.	BULLISH
Open Interest	Rising with price	New money entering. New long positions being opened — real conviction.	BULLISH
Liq. Heatmap	Short clusters visible above	Price magnets above. Forced short covering will accelerate the move when hit.	BULLISH
Order Book	Bid walls absorbing every dip	Large limit buyers below providing a floor.	BULLISH
MACD	Above zero, histogram expanding	Momentum positive and accelerating.	BULLISH
RSI	50–70, holding 50 on dips	Room to run. RSI holding 50 on pullbacks = textbook healthy uptrend.	BULLISH
VPVR	LVN above price, HVN below holding	Path of least resistance upward. No volume resistance above.	BULLISH

VERDICT

CONTINUATION — Stay long, trail SL under each higher low

ENTRY TRIGGER

Candle: 15m or 5m candle closing above a minor consolidation high on above-average volume after a shallow pullback. Body must be larger than wicks.

CVD: Futures CVD making a new high or sharply bouncing off a dip. Must be RISING, not flat.

OI: Stable or rising — confirming new longs entering, not just short covering. This is the key separator from Scenario 5.

Entry technique: Enter on the PULLBACK to a higher low, not on the initial spike. Wait for price to find support and resume. This gives a tighter stop and better R:R.

FAILURE MODE — When This Scenario Is Wrong

Volume on up candles begins matching or exceeding volume on down candles — sellers becoming equally aggressive.

RSI makes a lower high while price makes a higher high (bearish divergence).

Spot CVD stalls for 3-4+ candles while price continues higher — real money has stopped buying.

Funding reaches 0.08%+ per 8h — overheated longs, flush becoming mathematically likely.

If 2+ of these appear: move to Scenario 2 protocol immediately. Tighten stop. No new longs.

THE REAL REASON IT WORKS

Both Spot and Futures CVD rising means real money AND leveraged money are both buying. OI rising rules out short covering — these are genuine new longs. Liquidation clusters above create mechanical magnetic pull (forced short covering adds fuel). VPVR LVN above means no historical resistance to slow the move. All three factors self-reinforce.

WHAT YOU WILL FEEL — And What To Do Instead

FEELING: Fear when it pulls back 2-3%. 'My profit is disappearing. I should lock in gains.'

WRONG RESPONSE: Exit the position or take partial profits to stop the psychological discomfort.

CORRECT RESPONSE: Check the stop. Is it hit? Is OI declining? Is CVD reversing? If no to all three — the trade is valid. The pullback is normal. The discomfort is correct. Do nothing.

Tom: 'Winning should feel uncomfortable. The discomfort means you are doing it right. The profitable trader holds through the pullback — the unprofitable one exits it.'

SCENARIO 2 — UPTREND WEAKENING

Price still rising but cracks forming — prepare for reversal

Indicator	Reading	What It Means	Signal
VWMA	Price above but gap narrowing	Trend intact but momentum shrinking. Mean-reverting toward fair value.	CAUTION
Volume	Shrinking on up candles, growing on downs	Volume asymmetry reversing. Buyers reluctant, sellers aggressive.	WARNING
Futures CVD	Flattening or lower highs vs higher price highs	DIVERGENCE — price rising but fewer buyers are acting. Running on fumes.	WARNING
Spot CVD	Flattening or declining	Real money has STOPPED buying. The most critical signal. Institutional exit underway.	WARNING
Bid/Ask Delta	Flipping negative or oscillating	Ask walls appearing. Sellers posting large offers.	CAUTION
Funding Rate	High positive (0.05%+ per 8h)	Overleveraged longs bleeding funding every hour. Flush is mathematically more likely.	WARNING

Indicator	Reading	What It Means	Signal
Open Interest	Rising but price momentum slowing	New positions but price can't break higher. Someone absorbing all that new buying.	CAUTION
Liq. Heatmap	Large long clusters forming just below recent lows	Stop losses of recent buyers clustered below — become magnet when sellers gain control.	CAUTION
Order Book	Large ask walls at resistance	Significant sell orders stacking above. Informed sellers distributing into retail buying.	WARNING
MACD	Histogram shrinking, approaching zero or diverging	Bullish momentum decelerating. MACD divergence = strong reversal warning.	WARNING
RSI	Above 70 or bearish divergence	Overbought OR losing momentum. RSI + MACD divergence together = very high probability reversal.	WARNING
VPVR	Price entering major HVN or high-TF POC	Entering massive historical volume zone. Natural ceiling.	CAUTION

VERDICT

PREPARE FOR REVERSAL — Tighten SL, reduce size, no new longs

ENTRY TRIGGER

DO NOT enter new longs. If already in a long: trail stop to just below the most recent higher low.

Early short (aggressive, experienced only): Wait for first 15m candle closing below the most recent swing low on above-average volume with Futures CVD also turning down.

CVD confirmation: Futures CVD making lower high while price makes higher high = divergence = early short confirmation.

Conservative approach: wait for Scenario 3 confirmation before entering short. Missing the first 3% of a short is worth avoiding a 10% loss from entering too early.

FAILURE MODE — When This Scenario Is Wrong

This resolves as continuation (Scenario 1 remains valid) when: Spot CVD flattens briefly then resumes rising (reaccumulation, not distribution). Volume drops on warning candles then spikes up on new high with bullish CVD. RSI dips to 50-55 then bounces hard with expanding MACD histogram.

Rule: If Spot CVD resumes rising after a 2-4 candle pause — this was a consolidation within Scenario 1, not a reversal. Do not short prematurely.

THE REAL REASON IT WORKS

Spot CVD flattening while price rises is the earliest signal that smart money has stopped buying. Price is being pushed higher by leveraged futures longs only, without real underlying demand. This is classic distribution: informed sellers offloading into retail euphoria. Funding at extreme makes every hour more expensive for longs to hold — the correction becomes inevitable on a mathematical basis regardless of sentiment.

WHAT YOU WILL FEEL — And What To Do Instead

FEELING: FOMO. It's still going up. Maybe the divergence is wrong. Maybe I should hold.

WRONG RESPONSE: Hold the long or add size. 'It's going higher, the warning signals are just noise.'

CORRECT RESPONSE: Reduce size. Tighten stop. Write in your journal: 'Scenario 2 active, reduced to 50%, stop at X.' The warning signals are data, not noise.

Tom: 'People are hopeful when they should be fearful. Maximum hope in a trade coincides with maximum danger. The Scenario 2 signals are telling you the danger is rising. Listen to the data, not the feeling.'

SCENARIO 3 — CONFIRMED REVERSAL FROM TOP

Uptrend has ended — downtrend beginning — high-conviction short

Indicator	Reading	What It Means	Signal
VWMA	Price crosses below VWMA and fails to reclaim it	Structural shift confirmed. VWMA now resistance.	BEARISH
Volume	High volume on breakdown candles	Conviction breakdown. Sellers aggressive and committed.	BEARISH
Futures CVD	Sharply declining	Aggressive market selling in progress.	BEARISH
Spot CVD	Now also declining	Real money joined the sell side. Downtrend has structural legs.	BEARISH
Bid/Ask Delta	Strongly negative, ask walls growing	Every bounce attempt met with heavy sell orders.	BEARISH
Funding Rate	Dropping or going negative	Longs liquidated en masse. Mechanical selling cascade in progress.	BEARISH
Open Interest	Dropping fast (liquidations) OR rising (new shorts)	Fast drop = long liquidation cascade. Rising with price down = new shorts adding fuel.	BEARISH
Liq. Heatmap	Long clusters below being triggered	Each cluster hit forces more selling to next cluster. Waterfall drops.	BEARISH
Order Book	Bid walls being eaten through	Support that appeared strong consumed by aggressive sellers.	BEARISH
MACD	Crossed below signal, below zero	Full bearish confirmation. Momentum negative and accelerating.	BEARISH
RSI	Broke below 50, heading toward 30	Regime change confirmed. RSI 50 break is more significant than 30.	BEARISH
VPVR	Price in LVN below breakdown — HVN far below	Price falling through a vacuum. No volume to slow it. Rapid drop to next HVN.	BEARISH

VERDICT

CONFIRMED DOWNTREND — Short on retests of breakdown level, SL above it

ENTRY TRIGGER

Best entry: VWMA retest short. After initial breakdown, price often bounces 0.5-1.5% back to VWMA. Wait for this retest.

Candle trigger: A rejection candle at the VWMA retest — upper wick 2x+ the body size, closing in the lower third of its range.

CVD confirmation: Futures CVD flat or declining on the retest. A CVD spike up then sharp reversal at the VWMA is ideal — sellers stepping in exactly at resistance.

OI: Stable or rising on the retest short entry — confirming new shorts entering with conviction, not just long liquidations completing.

Stop: Above the retest high + 0.5% buffer. The VWMA retest entry is the highest quality because the stop is tight.

FAILURE MODE — When This Scenario Is Wrong

This is a false breakdown (Scenario 1 actually resumes) when: Volume on the breakdown candle is significantly below average (no real conviction). Spot CVD does not decline (only futures falls — short-term futures selling, not structural). Price reclaims VWMA within 2-4 candles on increasing volume and bullish CVD.

If price reclaims VWMA on high volume with Spot CVD turning back up: cover the short immediately. The breakdown was a bear trap.

THE REAL REASON IT WORKS

Reversal becomes confirmed when Spot CVD joins Futures CVD in declining. Futures CVD falling alone could be temporary. When real money sells spots, the structural bid is gone. OI falling rapidly means long liquidations are happening — forced selling creates more selling. VPVR LVN below the breakdown means no historical volume to slow the fall until the next HVN.

WHAT YOU WILL FEEL — And What To Do Instead

FEELING: Fear on the dead cat bounce (Stage B). 'This is recovering. I entered too early. The short is wrong.'

WRONG RESPONSE: Cover the short to stop the pain of watching unrealised P&L shrink on the bounce.

CORRECT RESPONSE: Check the failure mode. Has price reclaimed VWMA on high volume with Spot CVD turning up? If not — the dead cat thesis is intact. Your stop is above the breakdown high. If that is not hit, the trade is not over.

Tom: 'Out of 100 trades in a setup like this, 3 will catch the big move. The problem is you don’t know which 3. So you have to sit. You have to hold through the discomfort. The 97 who don’t sit are the ones the 3 take money from.'

SCENARIO 4 — HEALTHY DOWNTREND

Trend is down and intact — short bounces only, never fight it

Indicator	Reading	What It Means	Signal
VWMA	Price consistently below, rejecting every bounce	VWMA is active resistance. Average trending down.	BEARISH
Volume	High on down candles, low on bounces	Mirror of healthy uptrend. Sellers aggressive, buyers timid.	BEARISH
Futures CVD	Declining with lower lows each push down	Sustained aggressive selling campaign — not a one-off flush.	BEARISH
Spot CVD	Declining or flat	Real buyers absent. Either slowly accumulating (flat) or actively selling (declining).	BEARISH
Bid/Ask Delta	Mostly negative, brief positives fade quickly	Ask side dominates. Brief positive readings on bounces exhaust fast.	BEARISH
Funding Rate	Negative or near zero	Shorts dominate. Negative funding = coiled spring for squeeze but	CAUTION

Indicator	Reading	What It Means	Signal
		trend stays down until structure breaks.	
Open Interest	Stable or slowly rising	New shorts entering methodically. Institutional short being built.	BEARISH
Liq. Heatmap	Long clusters below being hit periodically	Downside magnets closer and being triggered. Upside short clusters distant.	BEARISH
Order Book	Ask walls rebuilding after each drop	Sellers organised and patient. Rebuild supply quickly after each decline.	BEARISH
MACD	Below zero, all components bearish	No reversal signs in momentum.	BEARISH
RSI	Below 50, rejection at 50 on bounces	RSI 50 acting as resistance. Each rejection confirms bearish regime.	BEARISH
VPVR	B-shaped profile. Price in LVNs.	All historical buyers trapped above — they sell any rally. Structure is bearish.	BEARISH

VERDICT

DOWNTREND CONTINUATION — Short every bounce to resistance, avoid all longs

ENTRY TRIGGER

Candle: Short on bounce to VWMA. Wait for price to reach VWMA from below, then a rejection candle: bearish engulfing, shooting star, or strong bearish close in the upper third of range.

CVD: Flat-to-declining during the bounce (short covering only, not real buying). A CVD spike up followed by sharp rollover at VWMA is the ideal entry signal.

OI: Declining during the bounce (shorts covering temporarily) then resuming rise on the rejection (new shorts adding). This OI pattern confirms the bounce is being sold.

Additional: VPVR POC or major HVN as confluence above VWMA makes this entry significantly higher probability. VWMA + POC alignment = A+ setup.

FAILURE MODE — When This Scenario Is Wrong

Downtrend ending (transitioning to Scenario 6 or 7) when: VWMA rejection is followed by immediate reclaim with high volume. Spot CVD stops declining and begins making higher lows. OI drops significantly while price holds flat (long liquidations exhausting, not continuing). Funding goes extremely negative (shorts overcrowded, squeeze incoming).

Rule: If Spot CVD makes a higher low while price makes equal or lower low — do not add shorts. Accumulation may be starting. Watch for Scenario 6.

THE REAL REASON IT WORKS

In a healthy downtrend, the VWMA rejection is the trend health check. The B-shaped VPVR profile means all historical buyers are trapped above — they become sellers on any rally, creating a self-reinforcing ceiling. Negative funding creates squeeze risk but not trend reversal unless structure breaks. The downtrend is sustained by: trapped longs selling relief rallies + new shorts selling VWMA + VPVR overhead resistance from trapped buyers.

WHAT YOU WILL FEEL — And What To Do Instead

FEELING: Temptation to long the 'cheap' price. 'It has dropped so much, it must bounce significantly.' Also: FOMO when a bounce is 5% and you missed it.
WRONG RESPONSE: Enter a long because the price 'looks cheap' or because the bounce looks strong.
CORRECT RESPONSE: Tom’s supermarket principle: cheap does not mean buy. The direction is what matters. Price is below VWMA, Spot CVD declining, RSI rejecting 50. The structure says down. Wait for Scenario 6 signals before any long consideration.
Tom: 'The financial market is not a supermarket. The item on sale is on sale because nobody wants it. Northern Rock went from £1,300 to zero. At every price it looked cheap. It was not cheap. It was falling.'

SCENARIO 5 — DEAD CAT BOUNCE

The most dangerous trap — do not mistake this for reversal

Indicator	Reading	What It Means	Signal
VWMA	Price bouncing toward VWMA on declining volume	Moving toward fair value without conviction. Genuine reversal would have volume.	TRAP
Volume	Low on rally, exhaustion volume at bottom	Short covering and stop-loss hunting only — not genuine new buying.	TRAP
Futures CVD	Brief spike up then immediately flattening	Short covering caused the pop. CVD spikes as shorts close, then goes flat.	TRAP
Spot CVD	FLAT or still declining during the rally	THE KEY TELL. Real money is NOT buying. Bounce is entirely mechanical.	TRAP
Bid/Ask Delta	Briefly positive then fading back negative	Initial delta spike was short covering velocity. Once covered, selling returns.	TRAP
Funding Rate	Was very negative, now normalising quickly	The bounce WAS a short squeeze. The mechanical catalyst is now exhausted.	CAUTION
Open Interest	FALLING during the rally	DEFINITIVE dead cat signal. OI falling + price rising = shorts CLOSING only. No new longs.	TRAP
Liq. Heatmap	Short cluster above was the target and just got swept	Mechanical purpose of the bounce is complete. New long clusters forming below = next target.	TRAP
Order Book	Large ask walls just above current price	Informed sellers positioned at expected bounce level. Ready and waiting.	BEARISH
MACD	Bouncing but still below zero, weak/shallow cross	Weak recovery. Smaller histogram than previous bearish peak.	CAUTION
RSI	Bounces to 40-55 but fails to break 50 convincingly	Bearish regime intact. RSI stalling at 45-55 = sellers still in control.	CAUTION
VPVR	Price enters HVN that was support — now resistance	Cluster flip. Previously trapped buyers waiting to exit at breakeven create ceiling.	BEARISH

VERDICT
DEAD CAT — Do not go long. Short the rejection from resistance when trigger fires

ENTRY TRIGGER

Candle: Short entry at the first major resistance (VWMA, previous support turned resistance, or VPVR HVN). A 15m candle that opens in the upper half of the resistance zone and closes in the lower half, with upper wick touching or piercing resistance.

CVD: Futures CVD flat or declining at the resistance touch. CVD spike up then sharp rollover at resistance = ideal signal.

OI confirmation: OI was falling during the entire bounce. Now on the short entry it begins rising (new shorts adding conviction).

Cross-reference 4H: Is overall structure still bearish (lower highs, lower lows)? If yes, this 15m bounce is noise within the larger downtrend.

FAILURE MODE — When This Scenario Is Wrong

This is actually Scenario 7 (real reversal) when: OI begins RISING during the rally after an initial drop (new longs entering, not just shorts covering). Spot CVD starts rising even slightly during the bounce. RSI breaks convincingly above 50 and holds for 3+ candles. Volume on the rally candles exceeds volume on the prior down candle.

The Scenario 5 vs Scenario 7 quantitative thresholds (use these, not gut feel): Dead cat = OI falls 5-20% during entire bounce. Real reversal = OI flat then rises 3%+ during the rally. Dead cat = Spot CVD flat or declining. Real reversal = Spot CVD clearly turning up and sustaining 3+ candles.

THE REAL REASON IT WORKS

The key differentiator from real reversal is OI behaviour. OI falling while price rises = shorts covering only = mechanical, temporary. Real reversal shows OI rising with price (new longs). Spot CVD not participating confirms real money has not changed view. Once short squeeze fuel exhausts (funding normalises from extreme negative), the mechanical buying stops and price resumes lower.

WHAT YOU WILL FEEL — And What To Do Instead

FEELING: Hope when the bounce begins. 'See — it's recovering. Maybe I should close my short. Maybe this IS the bottom.'

WRONG RESPONSE: Cover the short. Or worse: go long because the bounce looks strong.

CORRECT RESPONSE: Check OI. Is it falling during this rally? Check Spot CVD. Is it flat? If OI is falling and Spot CVD is flat — this is dead cat. Your short thesis is intact. Do nothing except potentially add on the rejection at VWMA.

Tom: 'Hope when you should be fearful. You are short in a downtrend and it bounces. Your brain interprets this as evidence you are wrong. You are not wrong. The bounce is the squeeze exhausting. When the fuel runs out, the downtrend resumes. Sit.'

SCENARIO 6 — DOWNTREND WEAKENING / BOTTOM FORMING

Selling exhausting — early accumulation — patience required before acting

Indicator	Reading	What It Means	Signal
VWMA	Price at or near VWMA after prolonged time below	Mean reversion occurring. Sellers have lost momentum.	NEUTRAL
Volume	Climax spike at new low then volume collapses	Exhaustion event. All remaining sellers entered the climax candle. Collapse after = no sellers left.	CAUTION

Indicator	Reading	What It Means	Signal
Futures CVD	Higher lows while price makes equal or lower lows	BULLISH DIVERGENCE — sellers losing aggression on each new low.	CAUTION
Spot CVD	Beginning to flatten and turn up slightly	Smart money starting to accumulate. Spot CVD turning before price = informed buying ahead.	CAUTION
Bid/Ask Delta	Flipping positive at lows — buyers absorbing sells	Absorption occurring. The wall of sell orders is being consumed by patient buyers.	CAUTION
Funding Rate	Very negative — extreme reading	Overcrowded shorts. Everyone on one side. Contrarian fuel for reversal — squeeze is coiled.	CAUTION
Open Interest	Declining — long liquidations winding down	Forced selling running out of victims. Mechanical downward pressure exhausting.	NEUTRAL
Liq. Heatmap	Short liquidation cluster above — untouched, growing	Massive short squeeze target building above. More shorts pile in = stronger upside magnet forms.	CAUTION
Order Book	Large bid walls appearing at current levels	Informed buyers placing significant limit orders. Revealing accumulation intent.	CAUTION
MACD	Still negative but histogram shrinking, diverging	Bearish momentum decelerating. MACD higher lows vs price lower lows = divergence.	CAUTION
RSI	Below 30, bullish divergence forming	Oversold + divergence = one of the strongest reversal warning combinations.	CAUTION
VPVR	Price at major HVN from higher TF composite	At highest historical volume zone — powerful institutional support.	CAUTION

VERDICT

ACCUMULATION ZONE — No shorts. Watch for Scenario 7 confirmation before any long entry

ENTRY TRIGGER

DO NOT enter full long yet. This is the watching phase. The entry comes in Scenario 7.

Exception: A very small starter position (20-25% of planned full size) can be placed at a major VPVR HVN or liquidation cluster level with a tight stop just below it.

Set three alerts: (1) Spot CVD turns up AND holds for 3+ candles. (2) Funding normalises from extreme negative. (3) MACD histogram makes a higher low. When all three fire — upgrade to Scenario 7 watch immediately.

DO NOT wait for OI to rise before starting to accumulate starter position — by the time OI rises, Scenario 7 has already begun and you are chasing.

FAILURE MODE — When This Scenario Is Wrong

This continues lower (still Scenario 4) when: The 'climax volume' candle is followed by another high-volume down candle (sellers still in control). Spot CVD ticks up briefly then resumes declining (absorption attempt failed). Bid/ask delta positive print is isolated rather than sustained. A major negative catalyst appears (macro event, hack, regulation news).

Rule: One candle of positive Spot CVD is not Scenario 6. You need sustained Spot CVD flattening over 6+ candles. Patience is the edge here.

THE REAL REASON IT WORKS

Spot CVD turning up before price is the earliest signal that institutional accumulation has begun. Smart money does not announce entries — Spot CVD leaks their positioning. Climax volume at the low marks the moment all remaining sellers finally entered — after that candle, the supply exhausts. Extreme negative funding means every new short is paying to hold a position in an increasingly dangerous (for shorts) environment.

WHAT YOU WILL FEEL — And What To Do Instead

FEELING: Fear and doubt. 'The trend is down. Every bounce has failed. Why would this be different? I should short this bounce too.'

WRONG RESPONSE: Short the apparent bounce in Scenario 6, treating it like Scenario 4.

CORRECT RESPONSE: Check: Is OI declining (long liquidations exhausting, not sellers adding)? Is Spot CVD making higher lows? Is funding extreme negative? If those match Scenario 6 — do not short. Wait for Scenario 7. The setup is forming. Your job is to watch, not trade.

Tom: 'At the bottom, maximum fear is present. The capitulation moment — when long-term holders sell in pain — is where informed money buys. You are watching informed money accumulate. Don't get in their way by being short.'

SCENARIO 7 — CONFIRMED REVERSAL FROM BOTTOM

Downtrend has ended — new uptrend beginning — high-conviction long

Indicator	Reading	What It Means	Signal
VWMA	Price crosses above VWMA on high volume and holds	Clearest structural confirmation. Regime change — average flattening then turning up.	BULLISH
Volume	Aggressive volume on breakout above key level	Real participation. Not short covering alone — genuine long buying with conviction.	BULLISH
Futures CVD	Strong aggressive turn upward	Futures buyers now the aggressors. Market buys flooding in. Full sentiment shift.	BULLISH
Spot CVD	Clearly rising — started before or with price	Real money was accumulating (Scenario 6 confirmed). Rising spot CVD validates the prior accumulation.	BULLISH
Bid/Ask Delta	Strongly positive, buy walls growing	Informed money showing large bid orders. Accumulation transitioning to markup.	BULLISH
Funding Rate	Turning from negative toward zero	Shorts squeezed. Funding normalising = overcrowded shorts force-covering. Mechanical buying added.	BULLISH
Open Interest	Rising with price — new longs entering	KEY difference from Scenario 5 (dead cat). OI rising = new longs, not short covering.	BULLISH
Liq. Heatmap	Short cluster above being targeted	Squeeze in progress. Short liquidations above being triggered — mechanical buying sustains move.	BULLISH

Indicator	Reading	What It Means	Signal
Order Book	Bid walls holding, ask walls being absorbed	Buyers overwhelming sellers. Ask walls that capped previous rallies now consumed.	BULLISH
MACD	Crosses above signal — bullish cross after divergence	Highest quality signal: crossover after divergence.	BULLISH
RSI	Breaks above 50 and holds — had divergence at low	Regime change confirmed. RSI reclaiming 50 after bullish divergence = bearish regime over.	BULLISH
VPVR	Price breaking above POC of recent downtrend profile	Buyers reclaimed the most contested level. LVN above = fast path upward.	BULLISH

VERDICT

CONFIRMED REVERSAL — Enter long on first pullback, SL below reversal low

ENTRY TRIGGER

Best entry: the FIRST PULLBACK after the initial breakout. Wait for price to retrace 30-50% of the initial breakout candle, find support (higher low forming), then resume upward.

Candle: Enter on the close of the first green candle that holds the higher low. Not the initial breakout candle — the pullback higher low. This avoids chasing and gives a tight stop.

CVD: Must hold positive or resume rising on the pullback. CVD declining slightly during the pullback (normal) then turning back up = buyers re-entering at the higher low. Confirms.

OI: MUST be rising on the pullback entry. If OI declines during the pullback and doesn't recover — the thesis is weakening. Reduce size. This is the Scenario 5/7 separator.

RSI: Should hold above 50 on the pullback and bounce. RSI dipping to 48-52 and recovering above 50 is ideal. RSI breaking below 45 on the pullback weakens the scenario.

FAILURE MODE — When This Scenario Is Wrong

This is actually a dead cat (Scenario 5) when: OI rises initially then drops sharply on the first pullback (short covering exhausted, no new longs willing to hold). Funding barely moves from negative toward neutral (short covering force already spent). Spot CVD turns up briefly then rolls over on the first pullback.

Quantitative check: Real reversal = OI flat then rises 3%+ during the rally. Dead cat = OI falls during the rally. If OI fails to rise on your pullback entry candle — do not enter or enter at 50% size with tighter stop.

THE REAL REASON IT WORKS

The critical separation from dead cat: OI rising WITH price. New longs genuinely entering, not just mechanical short covering. When Spot CVD, Futures CVD, OI, MACD, RSI, and VWMA all confirm simultaneously, you have a multi-layer structural shift. The VPVR POC break is the final stamp — buyers reclaimed the most contested level.

WHAT YOU WILL FEEL — And What To Do Instead

FEELING: Doubt. 'What if this is just another dead cat like before? The trend was so strong down. Why would it reverse here?'

WRONG RESPONSE: Skip the trade because of doubt about whether it's real.

CORRECT RESPONSE: Count the confluences. Is OI rising? Is Spot CVD clearly up? Is VWMA reclaimed? Is funding normalising? If 8+ indicators confirm — the doubt is your brain defaulting to the previous narrative. The data has changed. Follow the data, not the previous narrative.

Tom: 'Adding to a winning position is the most powerful thing a trader can do. And the hardest. Because to add you have to fight the fear of being wrong at a higher price. But that fear is exactly what creates the edge — most people won't fight it.'

SCENARIO 8 — RANGING / CONSOLIDATION

No clear trend — price oscillating between levels — beware false breakouts

Indicator	Reading	What It Means	Signal
VWMA	Price oscillating around VWMA, choppy crossovers	No trend. VWMA has no directional authority.	NEUTRAL
Volume	Overall declining, occasional spikes at range edges	Market resting. Declining volume = healthy consolidation. Spikes at extremes = testing.	NEUTRAL
Futures CVD	Flat overall, oscillating in narrow band	No sustained aggression from either side. True equilibrium.	NEUTRAL
Spot CVD	Flat or slow directional drift	Slow drift UP = quiet accumulation = bullish breakout more likely. Slow drift DOWN = distribution.	CAUTION
Bid/Ask Delta	Alternating — positive near bottom, negative near top	Classic range behaviour. Buyers defend bottom, sellers defend top.	NEUTRAL
Funding Rate	Near zero, slight bias toward range lean	Balanced. The spring is coiling — whoever breaks first gets squeezed.	NEUTRAL
Open Interest	Stable or slowly building	Both sides loading up inside the range. Breakout will be explosive — trapped side gets liquidated.	NEUTRAL
Liq. Heatmap	Clusters on BOTH sides, roughly equidistant	Double-sided hunt setup. Expect first sweep in one direction, then real move the other way.	CAUTION
Order Book	Large walls on both sides defining the range	Range holds as long as walls are intact. Breakout requires walls to be absorbed.	NEUTRAL
MACD	Oscillating around zero, small frequent crossovers	Weakest signal in ranges. Constant false signals — treat as context only, not signal.	NEUTRAL
RSI	Oscillating 40-60, rarely reaching extremes	Range RSI: consider selling when 55-60, buying when 40-45.	NEUTRAL
VPVR	D-shape or bell curve — POC in center of range	Profile describes the range. POC is gravitational center — price keeps returning.	NEUTRAL

VERDICT

RANGE TRADE — Fade the extremes toward POC. Never chase breakouts until volume + OI confirm

ENTRY TRIGGER

Long entry at range bottom: Price touches or briefly wicks below support, then a 15m bullish rejection candle (hammer, bullish engulfing) closes back inside the range.

Short entry at range top: Mirror image — price touches resistance, bearish rejection candle closes back inside the range.

CVD confirmation: Must be turning in favour of the trade at the range extreme. Positive at bottom entry. Negative at top entry. Flat CVD at the extreme = skip the trade.

OI at extremes: Flat or declining is healthy. DO NOT chase a breakout until OI shows a meaningful rise on a close outside the range. That OI rise signals real new positions — not range bouncing.

Critical rule: The FIRST breakout in a prolonged range is statistically more likely to be false. Always wait for close back inside before fading, or second test before following.

FAILURE MODE — When This Scenario Is Wrong

Range is breaking out for real (upgrading to Scenario 1 or 3) when: Price closes outside range on 2x+ average range volume. OI rises significantly during the breakout candle. Both Spot and Futures CVD surge in the direction of the breakout.

Rule: If you see all three simultaneously — stop fading. The range is over. Follow the breakout direction. Missing the false breakout is more valuable than catching the real one early.

THE REAL REASON IT WORKS

The VPVR D-shape reveals maximum volume was traded at the POC — both buyers and sellers most active there. This creates a gravitational center. Order book walls at range boundaries represent limit order books being tested. As long as they hold, the range continues. Both sides build positions during the range, so when the real breakout comes, the trapped side’s stops become fuel for a sustained move.

WHAT YOU WILL FEEL — And What To Do Instead

FEELING: FOMO as price approaches a boundary and looks like it might break. 'What if THIS is the real breakout? I’ll miss it.'

WRONG RESPONSE: Enter on the breakout before volume and OI confirm. 'It’s already moving, I need to get in.'

CORRECT RESPONSE: Remember the rule. First breakout in a range is more likely false. Wait for: close outside range on 2x volume AND OI spike. Missing the first 5% of a real breakout is acceptable. Being trapped on the wrong side of a false breakout is not.

Tom on false patterns: 'Your brain will find the breakout pattern it wants to find. The question is whether the data supports it. The data requires volume and OI confirmation. Without those, the pattern is your brain’s wishful thinking, not the market’s reality.'

PART 5 — SCENARIO 9: MANIPULATION PUMP CYCLE (ADVANCED)

Scenarios 1-8 cover organic market behaviour. Scenario 9 covers coordinated manipulation on low-to-mid cap coins. This is an advanced section for experienced traders. Trader 2's best trade (+272 USDT, +505% on margin, MLN short) is this exact system working. Their worst month included -148 USDT (ENSO), -36 USDT (COAI), -40 USDT (CLANKER) — all from entering this system at the wrong phase. The only difference between the 272 and the -224 is phase identification.

HONEST RISK WARNING — Read Before This Section
This is the highest-risk category in this document. The same system that generates +505% return on margin can generate -100% of margin in under 2 hours if phase identification is wrong.
Only trade Scenario 9 when: You are consistently profitable on Scenarios 1-8. You have at least 50 logged trades with a positive expectancy in your journal. You have read and understood both the long AND short checklist in full.
Never trade Scenario 9 to recover losses from Scenarios 1-8. Capital in distress + high-risk setup = account blowup.
Maximum allocation: 10% of total account in any single Scenario 9 trade, regardless of your position size formula result.

The 4-Phase Manipulation Lifecycle

Phase	Name	Duration	What Manipulators Do	Observable Footprints	Your Action
1	ACCUMULATION	Days to weeks	Buy spot and perp longs quietly. Suppress price with small sells to scare out weak hands while buying the dip.	OI builds 0.5-2%/day with flat price. Funding -0.02% to 0%. Ask side unusually thin. Multiple connected wallets buying (Bubblemaps). Social media: complete silence.	DO NOT TRADE. You cannot know when Phase 2 starts. Funding costs while waiting would destroy you.
2	IGNITION	Minutes	Push price through a key resistance with a large aggressive order. Clear the ask side first in Phase 1, then hit it.	Single 15m candle with 5-20x normal volume. OI spikes 10-30% in 15-30 minutes. Funding still 0% to +0.02% (retail has NOT entered yet). No news catalyst. Large green prints on Aggr.trade.	LONG ENTRY ZONE. Enter on the retracement of the ignition candle (not the candle itself).
3	FRENZY	Hours to days	Sell into retail FOMO. Distribute the accumulated position at	Funding climbs: 0.02% → 0.05% → 0.10% → 0.15%+. OI rising rapidly. Social	LONG MANAGEMENT: Follow funding ladder exits. SHORT

Phase	Name	Duration	What Manipulators Do	Observable Footprints	Your Action
			high prices to the public.	media explodes. Influencers posting. Price up 50-300%.	PREPARATION: Watch for 7 top signals. DO NOT SHORT YET.
4	DISTRIBUTION/COLLAPSE	Days to weeks	Done selling. No more support. May open shorts on own coin to profit from the collapse.	OI peaked/declining. Funding extreme for 2+ periods. Price making lower highs. Candle bodies shrinking. Volume divergence. Aggr.trade shows large red prints at highs.	SHORT ENTRY ZONE. After 4-of-7 top signals confirmed. Hold through dead cat bounces.

Candidate Screening — Which Coins to Watch

Criterion	Ideal Range	Why
Market Cap	5M – 300M USDT	Too small = no perp market. Too large = too expensive to pump. Sweet spot is small-to-mid cap.
Exchange listing	Must have perp on Bybit, Binance, or Hyperliquid	Without a perp market, you cannot short. The squeeze requires perp OI to fuel the cascade.
Wallet concentration	Top 10 wallets hold 30-60% of supply (Bubblemaps.io)	High concentration = coordinated control. They can pump and sell without diluting into infinite supply.
Prior history	Coin has pumped 200-500%+ previously then collapsed	Manipulators return to coins they've moved before. Same team, same playbook.
Recent quiet period	4-8 weeks of low volume, low social activity	This is Phase 1 (accumulation). Silence before the storm.
No organic news	No partnership, product, or technology catalyst	Organic pumps have reasons. Manipulation pumps have none. Absence of news IS the signal.
Perp 24h volume	Minimum 500K USDT	Below this: massive slippage, cannot exit quickly. Do not trade thin markets.

The Long Entry (Phase 2 Ignition — Catching the Initial Move)

Step	Action	Detail
1	Identify the ignition candle	15m candle with 5x+ normal volume closing UP 5-15% from its open. OI must also spike simultaneously on Coinglass.
2	Verify funding near zero	Coinglass funding must be 0% to +0.03%. If already 0.05%+, the move has been running. Too late. Do not enter.
3	Confirm no news catalyst	30 seconds on Twitter and CoinGecko. Real news = organic pump, different behaviour. This system is for manipulation only.

Step	Action	Detail
4	Wait for the retracement	After the ignition candle, price almost always pulls back 20-40% of that candle’s size. This is your entry.
5	Entry condition	Retracement candle must close ABOVE the midpoint of the ignition candle. If it closes below — the move is reversing. Do not enter.
6	Stop placement	Below the LOW of the ignition candle (not the retracement). If price returns there, the pump is invalid.
7	Position size	Maximum 1.5% account risk on the stop distance. Maximum 5x leverage.
8	Write your funding exit plan	Before entering: write down your 4 exit prices based on the funding ladder below.

The Funding Rate Ladder — Long Exit System

0% – 0.03%: Hold 100% of position. Trail stop below 15m 21 EMA. Still early. Retail barely entering.

0.03% – 0.06%: Take 25% off. Move stop to breakeven on remainder. Frenzy building. You have profit. Protect some.

0.06% – 0.09%: Take another 35% off (40% remains). Trail stop tightly. Heavy frenzy. Manipulators likely distributing.

0.09% – 0.12%: Take another 30% off (10% remains). This is a lottery ticket position only.

0.12%+: EXIT ALL. No exceptions. The long trade is over. Longs paying 0.36%/day in funding. Manipulators are selling. Distribution is complete.

Tom: 'The profitable trade often feels terrible to hold. When the coin is up 80% and you want to exit everything to lock in the gain — check the funding ladder. If you are at 0.08% and the ladder says hold 40%, follow the ladder. Not the feeling.'

Identifying the Top — The 7 Signals (Need 4 of 7 Before Shorting)

#	Signal	How to Observe It	Why It Matters
1	Funding Exhaustion	Funding above 0.10% per 8h for 2 or more consecutive 8h periods on Coinglass.	Longs paying 0.30%+/day. Mathematically unsustainable. Forced exits are coming.
2	OI Divergence (Most Critical)	Price makes new high. OI makes a LOWER high than previous peak.	New money is NOT following the price up. Manipulators distributing into a price rise without building new positions.
3	Candle Body Shrinkage	Last 3-4 green 15m candles each have smaller body (open-to-close) than the previous.	Buyers running out of power. Each push requires more effort for less result.
4	Upper Wick Elongation	Candles showing increasingly long upper wicks at the highs.	Hidden sellers appearing above the market, rejecting every attempt at new highs. Distribution in progress.
5	Volume Divergence	New price high but volume on that candle is LOWER than the previous high’s volume.	Buyers exhausted. New high made by fewer participants = fake breakout. The last longs are weakest hands.
6	Aggr.trade Flip	Large red prints (sells) appearing at resistance, large green prints disappearing.	Institutional selling at the top. Manipulators exiting their remaining position into retail bids.
7	Social Media Peak	Maximum number of influencer posts in the shortest time period.	Peak CT frenzy = peak distribution. When everyone is talking about it, the ones who started it are selling to all of them.

THE 4-OF-7 RULE — Non-Negotiable Gate for Short Entry
You need a MINIMUM of 4 of the 7 signals above confirmed before entering any short in Scenario 9.
ENSO failure: Trader 2 likely had only Signals 1 and 7 (high funding and social buzz). They did not wait for OI divergence, candle shrinkage, and volume divergence. Price went 20% against their short in 116 minutes. Loss: -147.94 USDT.
COAI failure: Same pattern. Entered short during Phase 3 (still frenzy). Price went 8% higher. Loss: -36 USDT in 112 minutes.
MLN success: By the time Trader 2 entered at 16.34, the top had been confirmed with multiple signals. Price fell 50.6% over 6 days to 8.07. Gain: +272.82 USDT (+505% on margin).
If you have fewer than 4 signals: DO NOT SHORT. You are still in Phase 3. Missing the first 10% of a confirmed collapse is better than being wrong by 20% and losing 100% of margin.

The Short Entry (Phase 4 Distribution/Collapse)

Step	Action	Detail
1	Confirm 4-of-7 top signals	Run through the 7 signals above. Count those active. Minimum 4 required. No shortcuts.
2	Wait for the short trigger candle	A 15m candle that closes BELOW the midpoint of the previous 15m candle, on volume EQUAL TO or GREATER than the previous candle.
3	Enter on the trigger candle close	Do not enter mid-candle. Wait for the close. Enter at market on close.
4	Verify funding still extreme	At moment of entry: funding must still be above 0.08%. Longs trapped, paying fees, will be progressively forced to sell into your short.
5	Stop placement	Above the HIGHEST WICK of the most recent high + 5% buffer. Not just above the wick — with a 5% buffer. Coins can spike 10-15% in minutes even after confirmed tops.
6	Position size	Maximum 1.5% account risk on the stop distance. Maximum 10x leverage (only on confirmed tops, never on unconfirmed).
7	Write exit criteria before entry	Write: 'I will exit this short when: funding normalises to 0-0.02% AND OI drops 50%+ from peak AND price declined 45%+.' Lock this note. Do not update mid-trade.
8	Expect to hold days, not hours	MLN took 6 days to fall 50.6%. Dead cat bounces WILL happen. You hold through them unless your written exit criteria are met.

The 4 Collapse Stages — What to Expect and What to Do

Stage	Timing	What Happens	Your Action
A: Initial Drop	0-24h after top	First 10-20% drop. Retail longs 'buy the dip'. Price may bounce 5-8% after initial fall.	Hold. Do NOT cover on the first dip-buyer bounce. OI is still elevated. Longs are still trapped. The bounce is retail hope.
B: Dead Cat Bounce	12-48h	Price recovers 30-50% of the initial drop. Social media: 'Recovery confirmed!' Funding drops slightly.	Hold IF: price fails to close a 4H candle above the 21 EMA. The bounce must fail at resistance. This is the hardest moment psychologically.
C: Capitulation Drop	48-120h	The largest single-day drop. Often 20-35% in 24 hours. Most retail longs liquidated. OI drops sharply.	Hold through this. Tighten stop to just above Stage B recovery high. MLN’s biggest drop happened here.

Stage	Timing	What Happens	Your Action
D: Base Formation	Day 5+	Price stabilises at a new low. Volume declining. Funding returning toward neutral.	This is your exit signal. Funding normalised + OI dropped 50%+ from peak = the short is over. Cover all.

Short Exit Criteria — All Three Required, Not Some

- **Funding has normalised to 0% to +0.02% (trapped longs have been eliminated)**
- OI has dropped 50-70% from its peak (the unwinding is complete)
- Price has found a base: 3+ consecutive 4H candles with similar lows and DECLINING volume
- Optional: If any real fundamental catalyst appears (news, listing, partnership) — exit immediately regardless of the above

Tom Hougaard on Holding the Manipulation Short
The MLN trade: Trader 2 held for 6 full days through Stage A, B, C, and D. During Stage B the dead cat bounce likely recovered 30-50% of the initial drop. Their unrealised P&L shrunk. Every instinct says take profit before it disappears.
They held anyway. That patience converted a good setup into +505% return on margin.
The practical tool: write the exit criteria BEFORE entering. 'I exit when funding normalises AND OI drops 50%+ from peak AND 45%+ decline.' Tape it to your screen. Read it when you feel the urge to close early. If none of the three conditions are met — the trade is not over.
Tom: 'Sitting on your hands when you have a winning position. Not taking half profit. Not tinkering. Not reducing to feel safe. THAT is the hardest thing in trading. And the only way you make real money.'

PART 6 — BLUE CHIP SETUPS: BTC / ETH / SOL

The 8-scenario system applies to all coins. Blue chips (BTC, ETH, SOL) earn a dedicated section because they have the most readable microstructure, the best data availability, and the highest manipulation resistance. Importantly: transaction data from two real traders showed BTC was the ONLY consistently profitable coin for Trader 1. BTC and ETH were top performers for Trader 2. Deep focus on 3 coins beats shallow knowledge of 85 coins.

The 4 BTC Market States — OI and Funding as the Primary Lens

State	OI Pattern	Funding Pattern	Price Action	Your Bias
TREND	Rising consistently. New money entering.	Neutral to moderate: +0.01% to +0.06% per 8h	Price making higher highs + higher lows above VWMA	LONG. Size up on pullbacks. Consider adding at confirmation.
CHOP	Flat. Positions stable, no commitment.	Oscillating near 0%. Nobody paying.	Price bouncing inside range 3+ days.	50% size or flat. Scenario 8 rules. Fade extremes only.
DISTRIBUTION	Peaked or flattening. Possible slight decline.	High positive: 0.08%+ and rising	Higher highs but with declining momentum. Divergences forming.	EXIT LONGS. Begin short preparation. Scenario 2 protocols.
CRASH	Dropping 15%+ rapidly. Mass liquidations.	Swinging sharply negative. Panic.	Fast, sustained decline. Liquidation cascades.	FLAT. Do nothing. Wait 4-8 hours for OI to stabilise. Re-enter with Scenario 7 or 6 protocols.

BTC Long Setups

Long Setup 1: OI Breakout — Core Trend-Following

Condition: OI builds 5-10%+ over 12-24 hours (new money entering). Funding neutral to moderate (0% to 0.05%). Price consolidating near or above daily 200 EMA.

Entry trigger: Daily candle closes above a swing high. Enter on the 1H retracement to the broken level.

Stop: Below the last daily swing low OR 1.5x ATR(14) from entry, whichever is tighter.

Management: No fixed target. Trail stop below the 4H 21 EMA. Add 30-50% if daily close above breakout AND OI still rising AND funding below 0.08%.

Exit conditions: ANY of — funding hits 0.10%+, OR OI drops 10%+ in one day, OR daily close below 4H 21 EMA.

Long Setup 2: Funding Reset Buy — Counter-Trend Bounce

Condition: Funding -0.05%+ (extreme negative) AND OI has already dropped 20-30% from a recent peak.

Entry trigger: Aggr.trade shows large green prints AND price stabilises for 2-4 candles. Enter on first 1H candle closing above previous 1H high.

Stop: Below the stabilisation zone low.

Target: 50-60% retracement of the drop. This is a bounce trade, not a trend reversal. Half size only.

Exit if: No 3-4% move within 4-6 hours. The squeeze fuel has been spent.

Long Setup 3: Daily 200 EMA Bounce — Highest Conviction

Condition: Weekly structure is bull trend. Price approaches daily 200 EMA with declining volume. RSI approaching 40-50.

Entry trigger: Daily candle CLOSES above 200 EMA (not just touches). The close is the confirmation.

Stop: Daily close below 200 EMA by more than 2%.

Size: 1.5x your normal position. This is the highest-quality blue chip setup. The 200 EMA is the most important level in crypto.

Management: Hold until OI peaks and funding reaches extreme, OR weekly structure breaks.

Long Setup 4: Scenario Analysis — Tom Hougaard's Method Applied to BTC

Pre-build scenarios on weekends when calm: 'If BTC fails to make new weekly high by Thursday — go flat Friday evening.'

Gap rules (Tom's stats): BTC gaps up 2%+ on Monday — wait 60 minutes before entering (58% of gaps fill same day).

'Third test of daily support on lower volume' — high-quality long entry. The third test typically succeeds if volume is declining on each test (sellers exhausting).

'Funding goes extreme negative after 15%+ drop' — prepare Setup 2 parameters. Don't enter yet. Prepare.

BTC Short Setups — The 2-of-3 Gate Rule

Before any BTC short, you need 2 of these 3 conditions: (1) Daily trend already broken (price below 4H 21 EMA, EMA pointing down). (2) OI elevated AND declining. (3) Funding at extreme positive 0.10%+. Zero conditions = do not short. One condition = wait.

Short Setup 1: Funding Exhaustion Short

Condition: Funding 0.10%+ for 3 consecutive 8h periods (24h of extreme). OI flat or making lower highs while price makes higher highs (OI divergence).

Entry trigger: Rejection wick or bearish engulfing on 4H. Short on 4H close below swing high candle's open.

Stop: Above the recent local high + 0.5-1.0%.

Management: Take 50% at next major daily support level. Trail the remaining 50% with 4H 21 EMA.

Short Setup 2: Trend Break Short — Best R:R

Condition: Daily closes below 4H 21 EMA AND EMA pointing down AND lower highs forming on daily chart.

Entry trigger: Wait for the dead cat bounce retest of the 4H 21 EMA from below. Enter short when price fails to reclaim the EMA on the retest.

Stop: Daily close BACK ABOVE the 4H 21 EMA.

Size: 75% of normal long size (gap risk overnight is higher on shorts).

Short Setup 3: ETH/SOL Relative Weakness Short

Condition: BTC flat or slightly up (0-2%) while ETH or SOL is DOWN 2-4% on the same day. Funding on ETH/SOL still positive (longs trapped). OI not yet dropped.

Entry trigger: Short ETH/SOL (not BTC) on a 1H bounce that fails at the previous hour's high.

Stop: 1H close above 4H 21 EMA on the coin.

Exit: At 5-8% decline OR if BTC accelerates upward (macro override).

BTC Correlation Rules for Altcoin Trades — Live Management

BTC Behaviour While You Hold an Altcoin	Meaning	Immediate Action
BTC flat or rising — alt also rising	Scenario 1 or 7 has both internal AND macro support. Best possible state.	Hold full size. No adjustment needed.
BTC dropping 1-2% while alt is flat or up	Alt showing relative strength. Macro headwind but alt holding. Actually a positive signal for the alt.	Tighten stop slightly. Do not exit solely because of BTC. Alt's own structure must break first.
BTC dropping 3%+ rapidly	Macro override. All alts face correlated forced selling within 30-60 minutes. The correlation is near 1.0 during macro drops.	Exit or reduce to 50% immediately. Re-evaluate when BTC stabilises. Do not be the last long standing.
BTC pumps 3%+ while you are SHORT an alt	Macro squeeze. All shorts feel upward pressure. Alt may be dragged up even against its own structure.	Check if alt is above your stop. If not — hold. If close to stop — reduce size by 50%. BTC correlation on squeezes is very high in first 30 minutes.
BTC volatile (3%+ swings both ways) intraday	Risk-off environment. All setups have lower reliability.	Reduce all position sizes by 50% regardless of scenario quality. High volatility = high noise in indicator readings.

PART 7 — TIMEFRAME HIERARCHY

Direction from Daily. Zones from 4H/1H. Entry from 15m/5m. Always in that order. Never reversed. A lower timeframe signal that contradicts a higher timeframe structure is noise, not edge.

Timeframe	Use For	CVD Behaviour	MACD Reliability	VPVR Use
1 Day (1D)	Define the macro scenario. Set macro POC, VAH, VAL. All lower TF trades must align here.	Sustained meaningful trends. Divergence = multi-day reversal.	Rare crossovers, highest reliability. Divergence = major cycle turns.	Best for macro structure, institutional bias, multi-week trends.
4 Hour (4H)	Confirm daily bias. Find specific VPVR entry zones. Identify exact price areas for setup.	Swing-level sentiment. CVD divergence = multi-hour reversal. Key for scenario classification.	Strong reliability for swing trades. Crossovers hold for days.	Best for swing structure, major S/R zones, multi-day trend legs.
1 Hour (1H)	Confirm the entry zone from 4H. Look for CVD divergences, RSI/MACD alignment.	Good for intraday sentiment shifts. Divergences within 4H trend.	Reliable for intraday direction. Always confirm with RSI.	Best for intraday structure, entry zone refinement.
15 Minutes	Execution chart. Enter when 15m confirms what 1H and 4H told you.	Real-time order flow. CVD flip at your entry level = trigger. Divergence = exit preparation.	Noisy. Treat as confirmation of higher TF signal only, never standalone.	Best for active trade management, intraday execution.
5 Minutes	Final entry breath ONLY after all higher TF analysis complete.	Most real-time view of aggression. Short-lived — use for the final entry only.	Mostly noise. Do not use for analysis.	Best for precise entry timing, scalping, live order flow.

The One Rule That Prevents 80% of Timeframe Errors

Before entering any trade: Open the 4H chart of the coin you are about to trade on 15m.

Ask: 'If I zoom out to 4H right now, does my entry look like a logical entry within a clear 4H setup?'

If the answer is 'no' or 'I’m not sure' — do not enter. You are about to trade noise.

The 15m chart shows you fractal patterns that look identical to the 4H chart. Without the 4H context, you cannot tell which ones are significant.

PART 8 — RISK MANAGEMENT

A trader who reads all 9 scenarios perfectly and ignores this section will eventually blow their account. Knowledge without position sizing is a loaded gun with no safety.

Rule 1: The Risk Per Trade Rule

Account Size	Max Risk Per Trade	Reasoning
Under $500	1% per trade	Small accounts cannot absorb drawdowns with 2% risk. Fee drag is proportionally larger. Aggressive sizing on a small account is the fastest path to zero.
$500 – $2,000	1.5% per trade	Transitional sizing. More capital to absorb drawdowns while still protecting against sustained losing streaks.
$2,000+	2% per trade	Standard sizing. Account large enough to absorb 10%+ drawdowns without being structurally impaired.
Any size — Scenario 9 (Manipulation)	Maximum 1.5% AND maximum 10% of account notional	Higher volatility and wider stops require lower risk% AND hard notional cap regardless of formula.

Rule 2: Position Size Formula — Run Before Every Trade

Position Size = Risk Amount ÷ Stop Distance

Risk Amount = Account Size × Risk% | Stop Distance = Entry Price − Stop Price

Account	Risk%	Risk $	Entry	Stop	Stop Distance	Position Size	Notional	At Leverage
$500	1%	$5	$70,000	$69,300	$700	0.00714 BTC	$500	$500 ÷ 5x = $100 margin
$1,000	1.5%	$15	$2,500	$2,400	$100	0.15 ETH	$375	$375 ÷ 5x = $75 margin
$2,000	2%	$40	$150	$143	$7	5.71 SOL	$857	$857 ÷ 7x = $122 margin
$500	1%	$5	$16.34 (MLN short)	$18.00 (top+10%)	$1.66	3.01 MLN	$49	$49 ÷ 10x = $4.9 margin

Rule 3: Leverage by Confluence Count (Updated with Account Size)

Confluences	Setup Quality	$200-500 Max Leverage	$500-2K Max Leverage	$2K+ Max Leverage
Below 5 / Below 7 (Bear)	Do not trade	0x	0x	0x
5-6	Standard	2-3x	3-5x	5x
7	Strong	3-4x	5-7x	7-10x
8-9	A+ setup	5x	8-12x	12-15x
8-9 + all CVD matrix green	Elite setup	5x max	10x max	15x max

Confluences	Setup Quality	$200-500 Max Leverage	$500-2K Max Leverage	$2K+ Max Leverage
Bear Regime override	Regardless of confluences	3x absolute max	5x absolute max	5x absolute max

Rule 4: Confluence Minimums by Account Size (NEW)

Account Size	Minimum Confluences	Why Different
Under $500	7 minimum	Fee drag on small accounts requires higher-probability setups. 5-confluence at 3x on a $500 account = too much fee relative to expected return.
$500 – $2,000	6 minimum	Balanced. Adequate capital to absorb occasional 5-6 confluence losses.
$2,000+	5 minimum	Standard. Account large enough to absorb reduced-probability setups with proper sizing.
Any size – Scenario 9	6 minimum	Manipulation setups have higher individual variance. Higher minimum regardless of account size.

Rule 5: Fee Budget — Critical for Small Accounts

Order Type	Typical Fee	On $500 Account	On $2,000 Account
Market Order (Taker)	~0.055% per side	~$0.55 per side / $1.10 round trip	~$2.20 per round trip at 2x fee
Limit Order (Maker)	~0.02% per side	~$0.20 per side / $0.40 round trip	~$0.80 per round trip
Saving by using limits	3x cheaper on entry	≈$0.70 saved per round trip	Adds up to significant savings over 50 trades

- Under $500 account: maximum 3 trades per week to prevent fee drag compounding
- $500-$2,000: maximum 1 new trade per day
- Always use limit orders for entries. Only use market orders for emergency stops

Rule 6: Stop Loss Placement

Trade Type	Stop Placement	Buffer	Why
Long — trend continuation	Below the most recent higher low	0.3-0.5%	Structure break below this level invalidates the uptrend.
Long — reversal from bottom	Below the sweep wick / reversal low	0.3-0.5%	If the reversal low breaks with volume, this was a dead cat.
Short — trend continuation	Above the most recent lower high	0.3-0.5%	Structure break above this level invalidates the downtrend.
Short — reversal from top	Above the breakdown candle high	0.3-0.5%	If the high reclaims with volume, the breakdown was false.
Short — Scenario 9 manipulation	Above local high + 5% buffer	5% (not 0.5%)	Manipulation coins can spike 10-15% even after confirmed tops. The extra buffer is insurance for MLN-type trades.
Range fade	Outside the range boundary	0.3%	If range boundary breaks convincingly, scenario upgrades.

Rule 7: Drawdown Recovery Protocol

Drawdown Condition	Immediate Action	Return to Normal When
3 consecutive losing trades	Reduce position size by 50%. Review each trade for process errors (checklist compliance), not just outcomes.	5 consecutive wins at reduced size.
5% drawdown from account peak	Reduce to 1% risk per trade (all account sizes). No new setups until 2 trades reviewed.	Account recovers 3% from the drawdown low.
10% drawdown from account peak	Stop trading for 24 hours. Full review of all recent trades. Is process breaking down or is this variance?	After 24h pause and review. Resume at 0.5% risk only.
15% drawdown from account peak	Stop trading for 1 week. Reread this document from the beginning. Are scenarios being identified correctly?	After full review. Resume at 0.5% risk.

The purpose of drawdown rules is not to prevent losses — losses are unavoidable. The purpose is to prevent the psychological spiral where one bad trade leads to revenge trading which leads to a blown account. The pauses exist because the brain is not rational after losses.

PART 9 — TOM HOUGAARD: PSYCHOLOGY OPERATING LAYER

Tom Hougaard: former JPMorgan analytics, 10 years watching 50,000+ retail traders at City Index, independent trader since 2009. No paid course, no product. His conclusion: the strategies are not the problem. The inability to execute them under psychological pressure is the problem. This section is the operating layer that makes the mechanical system work.

The 7 Principles — Applied to This System

Principle	The Core Insight	How It Appears in Your Trading	The Fix
1. Apophenia (Pattern Bias)	Once you are in a trade, your analysis is no longer objective. Your brain will find bullish patterns if you are long, bearish patterns if you are short. The deception is seamless.	You are in a losing long. You look at the chart and see a potential double bottom forming. This is not analysis. This is your brain inventing a reason to hold the losing trade.	Write the entry reason and the invalidation condition BEFORE entry. During the trade, only that pre-written note is trusted. Not your live analysis — only the note from before you had skin in the game.
2. Practice Makes Permanent	Repeating a bad behaviour does not teach you not to do it. It permanently wires it in deeper. Moving stop losses three times a week for six months means you have practised that skill 72+ times. It is now automatic.	Moving stop losses when price approaches them. Exiting early when a winning trade pulls back. These feel like one-off decisions. They are not. They are habits being cemented with each repetition.	Track every stop move in your journal with a RED marker. Every week, count the red entries. The count is the only feedback that breaks the habit. 5 red marks in a week is not just data — it is the sound of a bad habit being installed.
3. Fear/Hope Reversal	Retail traders are fearful when they should be hopeful (in winning trades) and hopeful when they should be fearful (in losing trades). The FXCM data: 62% win rate but losing money because avg wins are 48 points and avg losses are 82 points.	Closing winning trades after a 2% pullback because you fear losing the profit. Holding losing trades for hours hoping for recovery. Both are the exact opposite of what produces returns.	Win/loss ratio target: average win must be 2x average loss. This is not a preference — it is the mathematical requirement for profitability even at a 40% win rate. Track R-multiples in the journal.
4. Supermarket Mentality	'It looks cheap' or 'it looks expensive' are not analysis. They are comparisons to a prior price. The prior price has no relevance to the current supply/demand situation.	Entering a long on BTC at $50K because 'it was $70K last month' (looks cheap). Entering a short on a manipulated coin because 'it went up 200%' (looks expensive).	The direction is what matters. The only question is: what is the current structure telling me? Not: what was the price before?
5. Add to Winners, Not Losers	The Turtle Traders bought 20-day highs, not dips. Adding to a losing position to reduce average entry is mathematically sound	Averaging down on a losing leveraged position. 'My average entry is better now.' On a leveraged position, averaging down at each 5% move against you means 15% total adverse	The rule is absolute: never average down on a losing leveraged position. Ever. If the stop is not hit, hold. If the stop is hit, exit. Do not place another

Principle	The Core Insight	How It Appears in Your Trading	The Fix
	only in theories that do not include leverage. In leveraged perp trading, it is how accounts blow up.	move liquidates a doubled position.	trade in the same direction unless a new setup forms.
6. Scenario Thinking	Build statistical scenarios when calm. Not prediction — preparation. The plan built under no pressure is the only plan to trust under pressure.	Entering a trade on a Tuesday afternoon with no preparation: 'This looks like it's going up.' No pre-built scenario, no pre-written exit criteria, no thought about what would invalidate the thesis.	Every weekend: review the chart for each coin you watch. Write 2-3 scenario branches: 'If price does X — I do Y. If price does Z — I do W.' Monday arrives and the scenarios are ready. The market confirms or denies them. You execute the pre-built plan.
7. No Emotional Reset	Trades are not interconnected. A loss does not create a debt. A win does not create immunity. Each trade stands alone with its own risk parameters.	Doubling size after a loss to 'make it back faster.' Reducing stop distance after a win because you feel invincible. Both treat trades as connected. They are not.	The position size formula is the reset. Every trade, regardless of what preceded it, the formula is run fresh. Risk% is fixed. Stop distance determines size. Not recent P&L, not emotion.

The Pre-Trade Note — The Most Important Single Tool

> ***"Before I enter any trade, I write down what I believe will happen, what I will do if I am wrong, and what would make me add. I read this note while in the trade. Not my live analysis — my note from before I had skin in the game. That is the only version of my mind that I can trust."***
> — Tom Hougaard

The pre-trade note has three mandatory fields. Write them in your journal before touching the entry button:

Field	What to Write	Example
Why this works	One sentence. The single most important reason this setup has edge.	'Scenario 1 active: OI rising, Spot+Futures CVD both up, funding 0.02%, price above VWMA, LVN above.'
What proves me wrong	Specific, observable, price action or indicator condition that would mean the thesis is incorrect.	'If price closes a 4H candle below the 4H 21 EMA with Spot CVD declining, the thesis is invalidated.'
What triggers an add	The specific condition, not 'if it goes up more.'	'If OI rises another 5% with price above the breakout level on the daily and funding still below 0.07%, I add 50% of the original position.'

This note is LOCKED at entry. You cannot update it while in the trade. If the trade contradicts the note, you exit. If the note's add condition fires, you add. The pre-written note is the only version of your analysis that was not contaminated by skin in the game.

What YOU Will Feel in Each Scenario — And What To Do

The original playbook described what the CROWD feels. This section is about what YOU will feel. Different problem. Different solution.

Scenario	What You Will Feel	Automatic Wrong Response	Correct Response
S1: Long in Healthy Uptrend	Fear when it pulls back 2-3%. 'My profit is disappearing.'	Exit to stop the discomfort. Lock in the gain.	Check: Is the stop hit? Is OI declining? Is CVD reversing? If no to all — the trade is valid. The discomfort is normal. Do nothing.
S2: Long in Weakening Uptrend	FOMO. It’s still going up. 'Maybe the divergence is wrong.'	Hold or add. 'It’s going higher.'	Reduce size 50%. Tighten stop. Read your pre-trade note. The warning signals are data.
S3: Short in Confirmed Reversal	Fear on the dead cat bounce. 'This might be recovering.'	Cover the short to stop the pain.	Check failure mode. Did price reclaim VWMA on high volume with Spot CVD up? If no — dead cat. Stop is above the breakdown high. If not hit, sit.
S5: Short but it’s dead cat not reversal	Hope on the small bounces. 'Maybe it IS bottoming.'	Cover or go long. 'I see a double bottom.'	Check OI. Is it falling during the rally? Is Spot CVD flat? If yes to both — dead cat intact. The pattern your brain sees is apophenia.
S7: Long in Confirmed Reversal	Doubt. 'What if this is another dead cat?'	Skip the trade or size down too much.	Count the confluences. OI rising, Spot CVD up, VWMA reclaimed: 8 confirmations. The doubt is the previous narrative. The data has changed.
S8: Range — watching for breakout	FOMO as price approaches boundary. 'What if THIS is real?'	Chase the breakout before volume and OI confirm.	First breakout in range is statistically more likely false. Wait for: close outside + 2x volume + OI spike. Missing 5% of real breakout is acceptable.
S9: Short in Manipulation Collapse	Fear on the dead cat bounce (Stage B). 'It’s recovering. I should cover.'	Cover early. Lose 30% of potential gain.	Read the pre-written exit criteria. Are all 3 conditions met? If not — the trade is not over. The dead cat is Stage B of a 4-stage collapse.

The Weekly Practice Drill — Practice Makes Permanent

> ***“The only way to deal with the pressure of trading is to practice the correct behaviour until it becomes automatic. Reading about it is not practice. Writing about it is not practice. Opening a chart, identifying the scenario, running the checklist, and journalling the emotions — that is practice.”***
> — Tom Hougaard

Do this every weekend. It takes 30-40 minutes and is worth more than any indicator tweak:

- Pull 5 historical pump-and-dump charts from any time period. Identify the 4 phases of the manipulation lifecycle on each. Count how many of the 7 top signals were present before the actual reversal. This trains the Scenario 9 phase identification instinct.
- Pull 5 historical Scenario 1 and 3 transitions from any chart. Identify exactly when the divergences appeared. Mark where you would have entered and exited. Check: does your entry satisfy the 4-of-7 minimum confluence? This trains scenario identification under no pressure.
- Open your journal. Count how many times you moved a stop last week (mark red). Count how many times you added to a losing position (mark star). Write ONE specific improvement on a sticky note and place it on your monitor. One thing. Not five.
- Write 2-3 scenarios for the coming week: 'If BTC does X — I do Y.' These are prepared in advance when you are calm. Monday arrives and the playbook is already written.

PART 10 — YOUR COINGLASS LIVE CHART: THE EYE MOVEMENT SEQUENCE

You have the right panels on your chart. The issue is connecting each panel to the decision tree in real-time. Here is the exact sequence to move your eyes, what to read in each panel, and what question it answers. Done correctly: 60 seconds from open to scenario identification.

The 10-Step Eye Movement Sequence

Step	Panel (Your Chart)	What to Read	Decision Tree Question	Time
1	VWMA line vs current price (top panel)	Price above or below VWMA? How far? Widening or narrowing gap?	Q1: Above or below VWMA?	2 sec
2	Spot CVD panel (4th panel from top)	Rising, flat, or falling over last 6-8 candles?	Q2A or Q2B: Spot CVD direction?	5 sec
3	OI Candles panel (6th panel)	OI rising with price, falling, or diverging from price?	Q3A or Q3B: OI confirming or diverging?	5 sec
4	Funding Rate panel (5th panel)	Value right now: negative / near zero / moderate positive / extreme positive?	Q4: Funding neutral-to-positive?	3 sec
5	Liquidation Heatmap (parallel window)	Nearest cluster above? Below? Distance to each?	Checklist Step 4: Liquidation clusters	5 sec
6	Futures CVD panel (3rd panel)	Confirming or diverging from Spot CVD? CVD Matrix state?	CVD Matrix: Which of 4 states?	5 sec
7	MACD panel (2nd from bottom)	Above or below zero? Histogram expanding or shrinking? Any crossover?	Scenario confirmation + 1 confluence	3 sec
8	RSI panel (bottom)	Above or below 50? Diverging from price? Moving toward 70/30?	+ 1 confluence if confirming	3 sec
9	VPVR (right side of price panel)	Am I in HVN (thick bar = resistance/support) or LVN (thin bar = clear air)?	Path of least resistance	5 sec
10	Orderbook heatmap (parallel window)	Large walls above or below? Where are the significant clusters?	Target identification + stop context	5 sec

The 12-Indicator Confluence Count — How to Score

After completing the eye sequence, count how many of the 12 indicators align with your intended trade direction. Each indicator scores 1 point:

Indicator	For LONG (+1 each)	For SHORT (+1 each)
VWMA	Price above VWMA and gap widening	Price below VWMA and gap widening downward
Volume	High on up candles, low on pullbacks	High on down candles, low on bounces

Indicator	For LONG (+1 each)	For SHORT (+1 each)
Futures CVD	Rising steadily or turning up	Declining steadily or turning down
Spot CVD	Rising (most important)	Declining (most important)
Bid/Ask Delta	Consistently positive	Consistently negative
Funding Rate	Neutral to moderate positive (0.01-0.06%)	Extreme positive (0.08%+) for short setup
Open Interest	Rising with price (new longs)	Rising with decline (new shorts) or peaked and falling
Liquidation Heatmap	Short clusters visible above (squeeze fuel)	Long clusters visible below (cascade fuel)
Order Book	Bid walls absorbing dips	Ask walls capping bounces
MACD	Above zero, histogram positive and expanding	Below zero, histogram negative
RSI	50-70 range, holding 50 on dips	Below 50, failing to reclaim 50 on bounces
VPVR	LVN above (clear path), HVN below (support)	LVN below (clear path), HVN above (resistance)

Exit Signal Monitor — Watch These During Every Trade

Signal 1: CVD Divergence — price at new extreme but CVD not confirming. Aggression dying. [Action: start tightening mental stop]

Signal 2: Volume Climax — abnormally large volume spike in your direction. Exhaustion, not strength. [Action: take 30-40% partial profit]

Signal 3: VPVR HVN Reached — price enters a major High Volume Node. Momentum will slow. [Action: take 30-40% partial profit]

Signal 4: Liquidation Cluster Swept — the target cluster has been triggered. Mechanical fuel gone. [Action: consider full exit if no next cluster visible]

Signal 5: Structure Break — lower low in a long / higher high in a short. Thesis damaged. [Action: full exit unless SL not hit]

Signal 6: Funding Extreme — funding reaching extreme in your direction. Overcrowded. [Action: take partial profit]

Signal 7: RSI + MACD Both Diverging — simultaneously at the same price extreme. [Action: highest conviction exit signal. Exit full position]

Count: 1 signal = tighten stop | 2 signals = 30-40% partial | 3 signals = 70-80% partial | 3+ with structure break = FULL EXIT

PART 11 — MASTER PRE-TRADE CHECKLIST | PRINT THIS PAGE

Complete every checkbox before entering. Incomplete = no trade. There will be another setup.

#	Check	Source	Required?
☐ 0A	BTC Macro Regime: Bull / Bear / Transition? (20D VWMA position)	Part 0	REQUIRED
☐ 0B	BTC Local Momentum: Is BTC above 4H 21 EMA? (If no: altcoin longs = 5x max regardless of other confluences)	Part 0	REQUIRED (alts)
☐ 0C	Session Check: Am I in London/NY (full leverage) or Dead Hours (50% size cap applies)?	Part 1	REQUIRED
☐ 1	Decision Tree: Ran all 4 questions. Scenario number identified: ___	Part 2	REQUIRED
☐ 2	CVD Matrix: Which of 4 states? Both rising / Both falling / Diverging? State: ___	Part 3	REQUIRED
☐ 3	Confluence Count: How many of 12 align? ___ | Meets minimum for my account size ($500-: 7, $500-2K: 6, $2K+: 5)?	Part 10	REQUIRED
☐ 4	Liquidation Heatmap: Nearest cluster ABOVE ___ | Nearest cluster BELOW ___ | Void between here and there?	Part 10	REQUIRED
☐ 5	VPVR: Am I in HVN (resistance/support) or LVN (clear path)? Nearest POC: ___	Part 10	REQUIRED
☐ 6	Entry Trigger: Has the SPECIFIC trigger for this scenario fired? (Candle type + CVD + OI all required)	Part 4/5/6	REQUIRED
☐ 7	Is this a Scenario 9 (Manipulation) setup? If yes: 4-of-7 top signals confirmed? Switch to Scenario 9 checklist.	Part 5	IF APPLICABLE
☐ 8	BTC Correlation Check: Is BTC in a local pullback or dropping 3%+? (If yes: altcoin leverage capped)	Part 6	REQUIRED (alts)
☐ 9	PRE-TRADE NOTE written in journal: (1) Why this works: ___ (2) What proves me wrong: ___ (3) What triggers add: ___	Part 9	REQUIRED
☐ 10	Stop Loss: Located at market structure invalidation + 0.3-0.5% buffer. Already placed in the system (not in head). SL: ___	Part 8 Rule 6	REQUIRED
☐ 11	Position Size: (Account × Risk%) ÷ Stop Distance = ___ | Leverage within confluence table? ___x	Part 8 Rules 1-3	REQUIRED
☐ 12	Failure Mode reviewed: I know what this scenario failing looks like. I am watching for it.	Part 4/5	REQUIRED
☐ GATE	If ANY step above is uncertain, incomplete, or says 'not sure' — DO NOT ENTER. Close the chart. Find a different setup.	ALL	HARD GATE

Scenario 9 Short Entry Sub-Checklist (Run ONLY After Main Checklist Passes)

#	Signal Check	Active?
☐ S9-1	Funding above 0.10% per 8h for 2+ consecutive 8h periods	Yes / No
☐ S9-2	OI DIVERGENCE: Price at/near new high but OI is flat or declining (THIS is the gate — not optional)	Yes / No

#	Signal Check	Active?
☐ S9-3	Last 3 green 15m candles have progressively SMALLER body sizes	Yes / No
☐ S9-4	Upper wicks getting longer at the highs	Yes / No
☐ S9-5	New price high came on LOWER volume than the previous high	Yes / No
☐ S9-6	Aggr.trade showing large RED prints (sells) at resistance	Yes / No
☐ S9-7	Social media at peak frenzy (maximum influencer posts)	Yes / No
☐ GATE	MINIMUM 4 OF 7 ABOVE CONFIRMED. If fewer than 4 active — ABORT. You are still in the frenzy phase.	4 of 7 minimum
☐ S9-8	SHORT TRIGGER: A 15m candle closed below the midpoint of the previous candle on equal or higher volume	REQUIRED
☐ S9-9	Stop placed above local high + 5% buffer (not 0.5% — 5%)	REQUIRED
☐ S9-10	Exit criteria written: 'I exit when funding normalises AND OI drops 50%+ from peak AND 45%+ decline from entry'	REQUIRED

APPENDIX — TRADE JOURNAL TEMPLATE

Complete this template for every single trade, immediately after closing. After 50 trades, you will know your personal edge within this system — which scenarios produce your best results, which confluence counts are meaningful for you, and most importantly: the pattern of emotional states that precede your best and worst trades.

A. Trade Record

Field	Entry	Field	Entry
Date		Coin / Pair	
Session Active		Macro Regime (0A)	Bull / Bear / Trans
BTC Local Momentum (0B)	Above / Below 4H EMA	Sector Performance (0C)	Out / In Line / Under
Scenario # Identified		CVD Matrix State	
Confluence Count	/ 12	Indicators That Agreed	
Entry Trigger Used		Entry Price	
Stop Loss Level		Stop Distance	
Position Size (notional)		Leverage Used	x
Risk $ on Trade		Risk % of Account	
Nearest Liq Cluster (above)		Nearest Liq Cluster (below)	
VPVR Level at Entry	HVN / LVN / POC	Exit Price	
Exit Reason	Which signal(s)?	P&L ($)	
Trade Duration		R Multiple (P&L ÷ Risk$)	

B. Pre-Trade Note (Written BEFORE Entry — Locked at Entry)

Field	Your Entry
Why this setup has edge (1 sentence maximum)	
What specific price action or indicator reading would prove me wrong	
What specific condition would trigger adding to this position	

C. Emotional Record (As Important as the Price Record)

Question	Your Answer
What did I feel at entry? (fear / confidence / excitement / uncertainty / FOMO)	
What did I feel during the trade? (anxiety / relief / greed / impatience)	
Did I follow the entry trigger exactly, or did I jump early?	
Did I move the stop loss against my position at any point?	Yes / No — if yes: why?

Question	Your Answer
Did I exit based on signals, or based on emotion?	Signals / Emotion — specify:
Did I complete the full pre-trade checklist before entering?	Yes / No
Was the pre-trade note written before the entry button was touched?	Yes / No
What would I do differently on this exact trade?	
What did I do well on this trade?	

D. Weekly Review (Complete at End of Each Week)

Weekly Metric	This Week	Weekly Metric	This Week
Total trades taken		Win / Loss split	W: L:
Avg R on winning trades		Avg R on losing trades	
Win rate %		Best scenario # this week	
Worst scenario # this week		Avg confluence count (winners)	
Avg confluence count (losers)		Times entered without trigger	
Times stop moved against position		Times added to losing position	
Which session produced best results?		Drawdown protocol triggered?	Yes / No
ONE improvement for next week:			

The mechanical system is only as good as the discipline that runs it.

The checklist prevents entry errors. The journal prevents repeated errors. The psychology section prevents the errors neither of those can catch.